

Description & Eligibility

Focus on strategic decision-making related to cost analysis and cost management. Any postsecondary student contestant may enter this application event.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes for orientation, no more than ninety (90) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

Contest Competencies

- Differentiate between managerial and financial accounting
- Define materials, factory labor, and factory overhead costs
- Prepare entries for Job Order and Process Costing Systems
- Understand and apply lean manufacturing concepts
- Calculate product cost using activity-based costing
- Classify costs by behavior
- Calculate break-even and target profit
- Prepare a Variable Costing Income Statement
- Prepare an Absorption Costing Income Statement
- Describe and prepare the basic types of budgets
- Describe standard costing and variances
- Calculate price, labor, and overhead variances
- Describe responsibility accounting
- Use differential analysis to make decisions
- Determine selling price, total cost, and product cost using variable cost concepts
- Explain capital investment analysis
- Apply methods for allocating overhead

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